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'A nothing burger': EU's Choose Europe strategy falls short for VCs

By [Leah Hodgson](#)

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Ursula von der Leyen, president of the European Commission | Featured image by Thierry Monasse/Getty Images

The EU’s long-awaited startup strategy has promised to transform the continent into a global powerhouse, but VCs are yet to be convinced that it will meaningfully shift Europe’s position as a leading hub for innovation.

On March 28, the European Commission unveiled its “Choose Europe” strategy to reverse the longstanding trend of European founders relocating to the US and Asia. According to the Commission, almost 30% of domestic unicorns—startups worth over \$1 billion—left the EU between 2008 and 2021.

The EU proposes to stem the exodus by tackling structural barriers that have held back growth, including fragmented regulations, limited access to capital and a skilled talent gap.

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While the Commission's ambitions have been welcomed by the startup community, concerns are mounting over its ability to execute the plan. For many, the question isn't whether the diagnosis is right, but whether Brussels is capable of delivering the cure.

"I suspect that [the strategy] could be a bit of a nothing burger," said Tobias Bengtssdahl, a Stockholm-based partner at VC firm [Antler](#). "The main themes of the strategy are valuable, and there's definitely been a vibe shift from the EU, which is positive. But the EU's track record of actually getting things done is not great. My trust in them being able to execute this strategy properly is close to zero."

Too little, too late

The EU's strategy rests on multiple pillars, with increased access to capital being arguably the most important.

The Commission acknowledged the clear funding gap for more mature startups compared to the US and has proposed the Scaleup Europe Fund, a public-private investment vehicle designed to inject over €10 billion into late-stage startups. Private contributions to the fund are expected to be four times the public amount.

The intent is clear: stop losing promising startups to foreign capital by ensuring that they can grow—and stay—in Europe. But for some investors, the numbers don't yet add up.

[Northzone](#) partner Michiel Kotting acknowledged that the strategy aims at the right targets, but he cautioned that the funding on offer may be "a drop in the ocean" compared to the scale of the challenge.

"Europe has underfunded its growth companies to the tune of \$375 billion over the past decade," Kotting said. "While the EIC [European Innovation Council] and EIB [European Investment Bank] can't make up that gap on their own, there needs to be a clear roadmap for how Europe can leverage public capital to boost venture and institutional investment."

Furthermore, there are concerns about how the fund will be deployed in practice. Bureaucratic delays, risk aversion and compliance-heavy public funding processes often deter startups and VCs from taking public funding.

Vasco Pereira da Silva, head of policy at startup advocacy group Allied For Startups, added that while access to capital is a key barrier, "throwing more EU money at the

problem will not, on its own, make Europe globally competitive.” He said that structural change is needed rather than subsidies.

Henrik Landgren, co-founder of funding platform developer [Gilion](#), noted that by the time EU funding arrives, it may already be too late.

“There are more entrepreneurs than ever, and a fiercer VC market, so stimulation from the EU could have a huge impact right now,” he observed. “But, by their own admission, the [European Investment Bank] and [European Innovation Council] are so slow that the money they want to stimulate the market won’t be available quickly enough. And even then, only to the companies that can afford a years-long process of bureaucracy.

Landgren warned that unless the EU acts more like a private investor, with rapid assessment and fewer strings attached, the Scaleup Europe Fund risks becoming another well-intentioned initiative that fails to gain traction.

A harmonized regulatory regime?

Perhaps the most ambitious element of the strategy is the proposed 28th regime, a regulatory framework that would allow startups and scaleups to benefit from a single, harmonized set of EU-wide rules.

“European businesses have long contended with complicated webs of bureaucracy, which can present a major obstacle to innovation,” Kotting said. “It has yet to take its final form, but the 28th regime should hopefully reduce the outsized administrative burden facing startups, and simplified legislation is key if Europe wants to both attract and keep hugely innovative companies and foster a climate to be able to create them.”

But again, questions loom about implementation. Member states don’t have to comply with the regime, nor does it override individual countries’ regulations. If some were to opt into the regime while others don’t, it could widen disparities between markets within the union.

According to Bengtsdahl, the EU doesn’t need new regulations to stimulate innovation. It needs to revise existing rules.

“Instead of what the EU will do, I want to know what they’re not going to do, what they will discontinue and how they plan to remove the red tape of bureaucracy,” Bengtsdahl said. “We need a revamp of major regulations like GDPR [General Data Protection Regulation] and the AI Act. The EU getting out of the way will solve a lot of our problems.”

Rolling out the blue carpet

Hiring top tech talent is a major hurdle for most startups, but particularly in Europe. Competition is fierce, and higher salaries in the US and a more cautious attitude toward

risky startups make it difficult for European companies to attract the best of the best.

According to Slush's 2025 Startup Struggle Survey, 20% of founders report difficulty attracting technical talent, and a March McKinsey report estimates the tech talent gap could reach 3.9 million people by 2027 in the EU alone.

The EU is proposing the "Blue Carpet Initiative" to streamline visa pathways for highly skilled workers and founders from other countries.

Kotting sees this as a vital part of the puzzle to strengthen Europe's startup ecosystem. "It is essential to understand that the best entrepreneurial talent can go anywhere to start a business, and for too long we have seen a net outflow, rather than a net inflow of that talent," he said.

However, he noted, while the EU has said that attracting talented global students and researchers is a key goal, there could be conflict with some member states, which are seeking to limit international student entry.

Pereira da Silva stated that while the Commission has made credible commitments on talent and is using the tools available to it, there are limits on what it can do. He echoed that the real bottleneck lies in national implementation.

The EU is also trying to boost its appeal to tech talent by exploring best practices for employee stock options, which have historically been underdeveloped compared to the US. This could include harmonizing taxation across member states. But Landgren warned that these measures may not be enough. The proposals still fall short of establishing a unified EU-wide standard.

"The tax-related aspects of employee stock ownership plans are welcome, but the issues to increase talent in the tech sector are more systemic," Landgren said. "A lack of liquidity for employees in Europe for this region is a significant failure of these schemes."

Move fast, fix things

If there's one unifying concern among founders, it's urgency. The broad ambition of the Choose Europe strategy is welcome, they say, but a multiyear roadmap, with its next review not due until 2027, moves too slowly to keep up with the rapidly evolving tech landscape. The strategy also needs to be adopted by member states.

"My biggest concern is that the ambition of this strategy gets watered down in execution," Pereira da Silva said. "That institutions stop listening to founders and instead retreat into familiar patterns: member states prioritizing short-term national interests over long-term European solutions. If they step up and match the Commission's ambition, we can turn this into a game-changer. If not, we risk another cycle of well-meaning rhetoric without real impact."

Over the past 50 years, the US has created six \$1 trillion companies, and Europe has created none. Having already largely missed out on the foundational AI boom, added Bengtssdahl, the EU needs to move fast or risk being left behind again.

Europe doesn't lack talent or research, but it does lack cohesion and clarity. The EU has diagnosed the problem, but it needs to show it can cure it.

"The time for Europe to win is now," Landgren said. "We know the problems, and the people are here to build the solutions, as is the will, and the money. What is holding us back is bureaucracy and apathy."

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About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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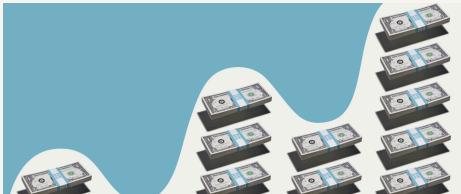
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